capital-intensive. So, the growth in private investments will not be as high as earlier. But there are signs of revival in a few sectors and this should become more broad-based.

Q. Can you give us some examples?

If you see the power sector, for example, we were in a deficit situation earlier. To meet that deficit, the capital requirements were much higher. We are now more or less in a self-sufficient position. So, the growth in investment will not be as high in these sectors. On the other hand, you see higher investment growth in new sectors such as renewable energy, defence equipment, electronics, semiconductors and mobile phones. There is therefore a shift in sectors you would normally have tracked for private investment. Going forward, the good capacity utilisation and healthy balance sheets of the corporates and the banks eager to lend more to the real economy will go very well for private investment. The capital market is already doing well. I am quite bullish that private sector investment will continue to support further growth of our economy.

ON PVT INVESTMENT

"IT IS DEMAND THAT LEADS TO INVESTMENT, NOT THE OTHER WAY AROUND. WITH CONSUMPTION GROWING AT A FAST PACE, I AM CONFIDENT PRIVATE INVESTMENT WILL FURTHER GROW"

Q. Are you also factoring in the needs of Indian exporters who are facing pressure from US tariffs?

The RBI has been proactive in providing succour to all sectors adversely affected. If you are referring specifically to the tariff-hit sectors, we came out with a series of measures, including loan moratoriums.

Q. Are you happy with the current rate transmission or is there still room for lenders to lower interest rates in tandem with the RBI's rate cuts?

Let me give you some data against the 100 bps cut, followed by another 25 bps done only recently. Against the 100 bps, the data we have till October show that, on average, the transmission from the purely interest rate side is 78 bps, which is very good. Transmission to MSMEs has been 83 bps against 100 bps because these are mostly linked to external benchmarks, including the repo rate. Similarly, home loans have decreased by about 95 bps. There is, of course, further room for transmission post our 25 bps rate cut.

Q. Is the RBI satisfied with how formal credit is reaching small businesses in the MSME sector?

MSMEs are one of our focus areas, apart from agriculture. MSME credit qualifies as priority sector lending within the 40 per cent overall Priority Sector Lending (PSL) target. There is a sub-target of 7.5 per cent, for micro and small enterprises within the PSL. There has been good growth of over 23 per cent in credit in the MSME sector as of October 31. In the micro and small enterprises, growth has been about 26 per cent and, in the medium, it is over 16 per cent. Transmission has been good.

Q. Is there room for improvement?

Yes, there is, as the potential is huge. We have several programmes for MSMEs. The unified lending interface is the latest we are in process of implementing. The Account Aggregator framework, which facilitates seamless and consent-based data-sharing, is another initiative that should propel further growth because a lot of information is now available digitally. Moreover, formalisation of the economy through GST and UPI data is helping better credit appraisal for MSMEs and facilitating more credit flows to the sector.

Q. The other concern is about diversification of household savings away from bank deposits. Is this a healthy shift or a worrying one?

There has been a remarkable shift in household financial savings over the years. From 90 per cent of financial savings being invested in bank deposits, currency and insurance in 2011-12 for which we have data, it has gone down to 56 per cent in 2024-25. So, there is a decrease in these instruments by 34 percentage points. This diversification helps savers because they get higher returns on their investment and it helps borrowers because they get alternative sources of funding. It is a win-win for both, because intermediation costs have come down.